



College of Business and Economics

School of Commerce, Accounting & Finance Program Unit

Bachelor of Arts in Accounting and Finance

Model Exit Exam: Cost and Managerial Accounting- I

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Instruction: Choose the correct answer from the given alternatives and write the letter of your choice on the separate answer sheet.

1. Which of the following statements refers to **management accounting information**?
 - A. **There are no regulations governing the reports.**
 - B. The reports are generally delayed and historical.
 - C. The audience tends to be stockholders, creditors, and tax authorities.
 - D. It primarily measures and records business transactions.
2. Which of the following groups would be **LEAST likely** to receive detailed **management accounting reports**?
 - A. **Stockholders.**
 - B. Sales representatives.
 - C. Production supervisors.
 - D. Managers.
3. The person(s) responsible for providing advice and **assistance to line managers** is/are:
 - A. Controller.
 - B. Chief financial officer.
 - C. **Staff management.**
 - D. Treasurer.
4. Classifying a cost as either **direct or indirect** depends upon:
 - A. the behavior of the cost in response to volume changes.
 - B. whether the cost is expensed in the period in which it is incurred.
 - C. **whether the cost can be easily identified with the cost object.**
 - D. whether an expenditure is avoidable or not in the future.
5. A manufacturing plant produces two product lines: golf equipment and soccer equipment. An example of **indirect cost** for the **soccer equipment line** is:
 - A. material used to make the soccer balls.
 - B. labor to shape the leather used to make the soccer ball.
 - C. shift supervisor for the soccer line.
 - D. **plant supervisor.**

WT Company manufactures several different products. Unit costs associated with Product **WT23** are as follows:

- Direct materials..... Br 40
- Direct manufacturing labor.....8
- Variable manufacturing overhead.....12
- Fixed manufacturing overhead.....23
- Sales commissions (2% of sales)..... 6
- Administrative salaries..... 9

- Total..... Br98
6. What are the variable costs per unit associated with Product **WT23**?
 - A. Br60
 - B. Br83
 - C. Br66
 - D. Br48
 7. What are the fixed costs per unit associated with Product **WT23**?
 - A. Br23
 - B. Br32
 - C. Br35
 - D. Br44
 8. What are the inventoriable costs per unit associated with Product **WT23**?
 - A. Br60
 - B. Br66
 - C. Br48
 - D. Br83
 9. What are the period costs per unit associated with Product **WT23**?
 - A. Br15
 - B. Br6
 - C. Br9
 - D. Br27
 10. Of the following production operations, the one most likely to employ job order cost accumulation is:
 - A. Ship building
 - B. Soft drink manufacturing
 - C. Crude oil refining
 - D. Candy manufacturing.
 11. The source of the data for debiting Work-in-Process for direct materials is the:
 - A. Purchase order
 - B. Purchase requisition
 - C. Materials requisition
 - D. Receiving report
 12. The amount of time spent by each employee and the labor cost incurred for each individual job or for factory overhead are recorded on:
 - A. Time tickets
 - B. Clock cards
 - C. In-and-out cards
 - D. Employees' earnings records
 13. In a process cost accounting, the costs of direct materials and direct labor are charged to:

- A. Service departments
 - B. Customer accounts receivable
 - C. Processing departments
 - D. Job orders
14. In a process costing system, the journal entry used to record the transfer of units from Department A, a processing department, to Department B, the next processing department, includes a debit to:
- A. Work in Process Department A and a credit to Work in Process Department B
 - B. Work in Process Department B and a credit to Materials
 - C. Finished Goods and a credit to Work in Process Department B
 - D. Work in Process Department B and a credit to Work in Process Department A
15. Identify the wrong statement about process costing.
- A. Completed units and their costs transfer to the next department as computed.
 - B. Process costs are charged to each department's Work-In-Process Inventory account.
 - C. Unit costs are computed only at the end of the entire manufacturing process.
 - D. Units not completed must be stated in terms of equivalent units.
16. Under which of the following conditions will FIFO method of process costing yield the same equivalent unit costs as the Weighted-Average Method?
- A. When units produced are homogenous in nature.
 - B. When there is no ending inventory
 - C. When beginning and ending inventories are each 50% complete.
 - D. When there is no beginning inventory.
17. Managers often cite reductions in the costs of spoilage as a (n)
- A. A major justification for implementing a just-in-time production system
 - B. Measurement of improved output quality
 - C. Immaterial item that is not to be tracked
 - D. Indication of improvement in the accounting system
18. Under which of the following conditions will FIFO method of process costing yield the same equivalent unit costs as the Weighted-Average Method?
- A. When units produced are homogenous in nature.
 - B. When there is no ending inventory
 - C. When there is no beginning inventory.
 - D. When beginning & ending inventories are each 50% complete.
 - E. All of the above
 - F. None of the above
19. If the rework is abnormal, it is highlighted to management by charging abnormal rework to:
- A. Materials Control
 - B. Work In Process Control

- C. Factory Overhead Control
D. Loss account.
20. Domain Manufacturing Shop produces motorcycle parts. Typically, 10 pieces out of a job lot of 1,000 parts are spoiled. Costs are assigned at the inspection point, Br.50.00 per unit. Spoiled pieces may be disposed of at Br.10.00 per unit. The spoiled goods must be inventoried appropriately when the normal spoilage is detected. Job 101 requires the production of 2,500 good parts. Which of the following journal entries would be correct if the spoilage occurred due to specifications required for Job 101?
- | | | |
|----------------------------|--------|--------|
| A. Work-in-Process Control | Br.100 | |
| Materials Control | | Br.100 |
| B. Materials Control | Br.100 | |
| Work-in-Process Control | | Br.100 |
| C. Materials Control | Br.250 | |
| Work-in-Process Control | | Br.250 |
| D. Work-in-Process Control | Br.250 | |
| Materials Control | | Br.250 |
21. Which of the following is NOT a primary reason for allocating joint costs?
- A. cost justification and insurance settlement cost information requirements
 - B. cost justification and asset measurement
 - C. income measurement and rate regulation requirements
 - D. to calculate the bonus of the chief executive officer
22. The Arid Corporation manufactures widgets, gizmos, and turbots from a joint process. May production is 4,000 widgets; 7,000 gizmos; and 8,000 turbots. Respective per unit selling prices at split off are Br.15, Br.10, and Br.5. Joint costs up to the split off point are Br.75, 000. If joint costs are allocated based upon the sales value at split off, what amount of joint costs will be allocated to the widgets?
- A. Br.30, 882
 - B. Br.26, 471
 - C. Br.17, 647
 - D. Br.28, 125
23. Product X is sold for Br.8 a unit and Product Y is sold for Br.12 a unit. Each product can also be sold at the split off point. Product X can be sold for Br.5 and Product Y for Br.4. Joint costs for the two products totaled Br.4, 000 for January for 600 units of X and 500 units of Y. What are the respective joint costs assigned each unit of products X and Y if the sales value at split off method is used?
- A.Br.2.96 and Br.4.44
 - B.Br.4.00 and Br.4.55
 - C.Br.4.00 and Br.3.20

D.Br.4.55 and Br.4.55

24. A reason why a physical-measure to allocate joint costs is less preferred than the sales value at split off is
- A.A physical measure such as volume is difficult to estimate because of shrinkage
 - B.Physical volume usually has little relationship to the revenue producing power of products
 - C.A physical measure usually results in the costs being allocated to the product that weighs the most.
 - D.All of the above are reasons why the sales value at split off method is preferred to a physical volume measure**

The following information applies to questions below.

The Oxnard Corporation processes a liquid component up to the split off point where two products, Mr. Dirt Out and Mr. Sink Clean, are produced and sold. The following material was collected for the month of January. There was no beginning inventory.

Direct materials processed:	250,000 gallons (242,500 gallons of good product)
Production:	Mr. Dirt out 147,500 gallons
	Mr. Sink Clean 95,000 gallons
Sales:	Mr. Dirt out 140,500 at Br.110 per gallon
	Mr. Sink Clean 91,000 at Br. 100 per gallon

The cost of purchasing 250,000 gallons of direct materials and processing it up to the split off point to yield a total of 242,500 gallons of good product was Br.380, 000.

25. What are the physical-volume proportions to allocate joint costs for Mr. Dirt Out and Mr. Sink Clean, respectively?
- A. 59.00% and 41.00%
 - B. 60.82% and 39.18%**
 - C. 39.18% and 60.82%
 - D. 59.79% and 40.21%
26. When using a physical-volume measure, what is the approximate amount of joint costs that will be allocated to Mr. Dirt Out and Mr. Sink Clean?
- A. Br.231, 116 and Br.148, 884**
 - B. Br.224, 200 and Br.155, 800
 - C. Br.227, 202 and Br.152, 798
 - D. Br.230, 626 and Br.149, 374
27. When using the physical-volume method, what is Mr. Dirt Out's approximate production cost per unit?
- A. Br.1.52

- B. Br.1.54**
C. Br.1.57
D. Br.1.61
28. All costs incurred beyond the split off point that is assignable to one or more individual products are called:
A. Byproduct costs
B. Joint costs
C. Main costs
D. Separable costs.
29. When a single manufacturing process yields two products, one of which has a relatively high sales value compared to the other, the two products are respectively known as:
A. Joint products and byproducts
B. Joint products and scrap
C. Main products and byproducts
D. Main products and joint products
30. Which of the following costs of a joint process would be allocated to the joint products?
A. Labor and overhead only
B. Materials, labor, and overhead
C. Materials and labor only
D. Prime costs less by-product values
E. Conversion costs less by-product
31. Which of the following is a true statement regarding joint costs?
A. Joint costs are easily traced to individual products.
B. The primary reason for allocating joint costs is to determine whether a product should be sold immediately or processed further.
C. The primary reason for allocating joint costs is for inventory valuation for financial reporting.
D. Joint costs consist only of overhead, never of materials or direct labor.
32. The joint cost allocation method that yields the same gross margin percentage for each product is the:
A. Net realizable value method.
B. Sales-to-production-ratio method
C. Physical units' method.
D. Constant gross margin percentage method.
E. Sales-value-at-split-off method.
33. Which of the following is not a primary reason for allocating joint costs?
A. Cost justification and insurance settlement cost information requirements
B. Cost justification and asset measurement
C. Income measurement and rate regulation requirements

D. To calculate the bonus of the chief executive officer

34. The secondary product recovered in the course of manufacturing a primary product during a joint process is:
- A. A by-product**
 - B. A joint product
 - C. A replacement product
 - D. A split-off product
35. The joint cost allocation method that assigns joint production costs based on the proportionate share of eventual revenues less further processing costs is the:
- A. Sales-to-production-ratio method.
 - B. Net realizable value method.**
 - C. Physical units' method.
 - D. Sales-value-at-split-off method.
 - E. Constant gross margin percentage method.
36. The physical-measure method:
- A. Allocates joint costs to joint products in a way that each product has an identical gross-margin percentage
 - B. Allocates joint costs** to joint products on the basis of a comparable physical measure at the split off point
 - C. Allocates joint costs to joint products on the basis of the relative sales value at the split off point
 - D. Allocates joint costs to joint products on the basis of relative NRV
37. Which method of accounting recognizes byproducts in the financial statements at the time their production is completed?
- A. Production allocation method
 - B. Sale method
 - C. Production method**
 - D. Physical units' method.
38. The method that allocates costs in each cost pool using the same rate per unit is known as the:
- A. incremental cost-allocation method
 - B. reciprocal cost-allocation method
 - C. single-rate cost allocation method**
 - D. dual-rate cost-allocation method

Answer the following questions using the information below.

Jake's Battery Company has two service departments, Maintenance and Personnel. Maintenance Department costs of \$320,000 are allocated on the basis of budgeted maintenance-hours. Personnel Department costs of \$80,000 are allocated based on the number of employees. The

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costs of operating departments A and B are \$160,000 and \$240,000, respectively. Data on budgeted maintenance-hours and number of employees are as follows:

	Support Departments		Production Departments	
	Maintenance Department	Personnel Department	A	B
Budgeted costs	\$320,000	\$80,000	\$160,000	\$240,000
Budgeted maintenance-hours	NA	800	960	640
Number of employees	40	NA	160	480

39. Using the direct method, what amount of Maintenance Department costs will be allocated to Department B?
- A. \$96,000
B. \$128,000
C. \$156,000
D. \$192,000
40. Using the direct method, what amount of Personnel Department costs will be allocated to Department B?
- A. \$20,000
B. \$32,000
C. \$48,000
D. \$60,000
41. Using the step-down method, what amount of Maintenance Department cost will be allocated to Department B if the service department with the highest percentage of interdepartmental support service is allocated first? (Round up)
- A. \$64,000
B. \$85,333
C. \$114,667
D. \$128,000
42. Using the direct method, what amount of Maintenance Department costs will be allocated to Department A?
- A. \$96,000
B. \$128,000
C. \$166,000
D. \$192,000
43. Using the direct method, what amount of Personnel Department costs will be allocated to Department A?
- A. \$20,000
B. \$32,000
C. \$48,000

- D. \$60,000
44. Using the step-down method, what amount of Maintenance Department cost will be allocated to Department A if the service department with the highest percentage of interdepartmental support service is allocated first? (Round up)
- A. \$64,000
B. \$85,333
C. \$114,667
D. \$128,000

Answer the following questions using the information given below.

Fish Fillet Incorporated obtains fish and then processes them into frozen fillets and then prepares the frozen fish fillets for distribution to its retail sales department. Direct materials are added at the initiation of the cycle. Conversion costs are incurred evenly throughout the production cycle. Before inspection, some fillets are spoiled due to non-detectable defects. Inspection occurs when units are 50% converted. Spoiled fillets generally constitute 3.5% of the good fillets.

Data for April 2012 are as follows:

- **WIP, beginning inventory** (4/1/2012): 80,000 fillets - Direct materials (100% complete) & Conversion costs (50% complete)
- **Started** during April : 150,000 fillets
- **Completed and transferred out** (4/31/2012) : 200,000 fillets
- **WIP, ending inventory** (4/31/2012) : 16,000 fillets-Direct materials (100% complete) & Conversion costs (20% complete)

Costs for April:

- **WIP, beginning Inventory:** Direct materials \$ 110,000 & Conversion costs 80,000
- **Direct materials added :** \$290,200
- **Conversion costs added :** \$376,130

45. What is the number of total spoiled units?

- A. 16,000 units
B. 10,000 units
C. 50,000 units
D. 14,000 units

46. Normal spoilage totals:

- A. 7,000 units
B. 0 units
C. 16,000 units
D. 14,000 units

47. Abnormal spoilage totals:

- A. 7,000 units
B. 0 units
C. 16,000 units

- D. 14,000 units
48. What is the total cost per equivalent unit using the weighted-average method of process costing?
- A. \$4.00
 - B. \$1.74
 - C. \$2.10
 - D. \$3.84
49. What cost is allocated to abnormal spoilage using the weighted-average process-costing method?
- A. \$ 0
 - B. \$26,880
 - C. \$53,760
 - D. \$29,000
50. What are the amounts of direct materials and conversion costs assigned to ending work in process using the weighted-average process-costing method?
- A. \$6,720; \$27,840
 - B. \$27,840 \$6,720
 - C. \$27,840; \$33,600
 - D. \$33,600; \$27,840